Economics_2025_PYQ

Group-A (Very Short Answer Type Questions)

Answer any ten of the following: [1 x 10 = 10]

1. If the nominal rate of interest is 10% per annum and there is quarterly compounding, the effective rate of interest will be:
2. If too much money is chasing too few goods, the resulting inflation is known as _____.
3. Given selling price is Rs 10 per unit, variable cost is Rs 6 per unit and fixed cost is Rs 5,000. What is break-even point?
4. High inflation levels in the economy leads to _____ in the supply of money.
5. A fixed cash flow in each year for a specified number of years is called as _____.
6. In replacement analysis, the term defender is:

   a) existing equipment

   b) new equipment

   c) both of the above

   d) none of the above
7. _____ better describes variable cost?
8. If the nominal rate of interest is 10% per annum and there is quarterly compounding, the effective rate of interest will be:
9. The concept that value of a rupee to be received in future is less than the value of a rupee on hand today is known as:
10. Determine Contribution if Sales is Rs 1,50,000 and P/V ratio is 40%.
11. When inflation is a result of an increase in the price of factors of production, the result is _____.

    a. Stagflation

    b. Cost-push inflation

    c. Demand-pull inflation

    d. None of the above

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12. A company produces a single, high-volume product. One year its production volume was 780,000 units, its fixed costs were Rs 32 lac and its variable costs were Rs. 16 per unit. What was the company's average fixed cost for the year?

Group-B (Short Answer Type Questions)

Answer any three of the following: [5 x 3 = 15]

2. An Electricity company wants to replace its machinery which was installed in 1982 at a cost of Rs 3,00,000 with a capacity of 300 MW. Material, labour and overhead ratio 5:3:2. Present cost index of material, labour and overheads are 250, 300 and 240 respectively. Company wants to double its present capacity. Determine the present cost of machinery to be replaced with double capacity using cost indexes and power-sizing model. Power sizing factor is 0.80.

3. State the different causes of inflation.

4. Distinguish between variable cost and fixed cost.

5. Operating results of a company for last two years are as follows:

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Year	Sales (Rs)	Profit (Rs)
2009	270,000	6,000
2010	300,000	15,000

Assuming the cost structure and selling prices remain the same in both years, find out:

a) P/V ratio

b) Fixed cost

c) Break-even point

d) Margin of safety at a profit of Rs 24,000

6. The following figures for the month of March 2005 were extracted from the cost records of Yuvraj and Co.:

- Raw materials consumed Rs 4000
- Direct labour cost Rs 6000

- Factory overhead Rs 500
- Administration overhead 20% on work cost
- Selling and distribution overhead 6 paisa per unit
- Units produced Rs 20,000
- Units sold (at a profit of 20% of selling price) Rs 18,000

You are required to prepare a cost sheet showing profit for the month of March 2005.

Group-C (Long Answer Type Questions)

Answer any three of the following: [15 x 3 = 45]

7. The following data are obtained from the records of a factory:

Details	Amt (Rs)	Amt (Rs)
Sales: 4000 units @ Rs 25 each		100,000
Materials consumed	40,000	
Variable overheads	10,000	
Labour charges	20,000	
Fixed overheads	18,000	
		88,000
Net profit		12,000

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Calculate:

a) The number of units by selling which the company will neither lose nor gain anything.

b) The sales needed to earn a profit of 20% on sales.

c) The extra units which should be sold to obtain the present profit if it is proposed to reduce the selling price by 20% and 25%.

d) The selling price to be fixed to bring down its break-even point to 500 units under present conditions.

8. From the following information, calculate IRR:

   - Year cash inflows (Rs):

     1: 5000

     2: 8000 Initial Outlay: Rs 20,000

     3: 10,000

     4: 4,000

   - Present value at Re 1 receivable at the end of year 1,2,3,4 as follows

Rate	Yr1	Yr2	Yr3	Yr4
12%	0.892	0.797	0.712	0.636
13%	0.885	0.783	0.693	0.613
14%	0.877	0.77	0.675	0.592
15%	0.867	0.756	0.658	0.572
16%	0.862	0.743	0.641	0.552

9. What do you mean by Depreciation? Explain the different methods of calculation of depreciation.

10. Mr. Singh has started a transport business with ten taxies. Various expenses incurred:

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Cost of each taxi = Rs 75,000

Salary of office staff = Rs 1,500 pm

Salary of garage supervisor = Rs 2,000 pm

Rent of garage = Rs 1,000 pm

Drivers' salary (per taxi) Rs 400 pm

Road tax and repairs per taxi Rs 2,160 pa

Insurance premium @ 4% of cost pa

Life of taxi = 30,000 km, end value Rs 15,000

Taxi runs average 4,000 km per month (20% runs empty)

Petrol consumption 9 km/litre, petrol cost Rs 6.30/litre

Oil & other expenses Rs 10 per 100 km

Calculate cost per km if hire charges Rs 1.80/km. Find profit expected in first year.

11. Following is the Trial Balance of Raj Traders as on 31.03.1999.

Account Name	Debit (Rs)	Credit (Rs)
Debtors	16,000	
Bills Receivable	4,800	
Furniture	3,000	
Machinery	20,000	
Salaries	4,000	
Electricity	1,200	
Rent	2,200	
Advertisement Expenses	1,600	
Closing Stock	3,000	
Investment at 12% Interest	12,000	
Bank	4,300	
Capital		42,000
Creditors		12,000
Bills Payable		5,400
Wages Outstanding		500
Provision for Doubtful Debts		1,000
Gross Profit		10,000
Total	71,900	71,900

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Trial Balance Table for Problem 11

Prepare a Profit & Loss Account for the year ended 31.3.1999 and a Balance Sheet as on that date with following adjustments:

(a) Rent is prepaid for Rs 200

(b) Provision for doubtful debts and provision for discount on debtors to be made both at 5% on Debtors

(c) Depreciate machinery @ 10% pa and furniture @ 20% pa

(d) Bills receivable includes a dishonoured bill of Rs 600

(e) 3/4th of the advertisement expenses to be carried forward.

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